



EXAMINATIONS COUNCIL OF ESWATINI
Eswatini General Certificate of Secondary Education

CANDIDATE
NAME

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CENTRE
NUMBER

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CANDIDATE
NUMBER

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BUSINESS STUDIES

6897/01

Paper 1

SPECIMEN 2027-2029

1 hour 30 minutes

Candidates answer on the question paper.

Additional material: calculator

READ THESE INSTRUCTIONS FIRST

Write your name, centre number and candidate number on the spaces provided.

Write in dark blue or black pen.

Do **not** use staples, paper clips, highlighters, glue or correction fluid.

Answer **all** questions.

The businesses described in this question paper are entirely fictitious.

The number of marks is given in brackets [] at the end of each question or part question.

All questions are worth equal marks.

The total mark for this paper is 80.

For Examiner's Use	
1	
2	
3	
4	
Total	

- 1 Busa owns a small poultry farm which produces eggs. There is a scarcity of eggs in his local community of Siteki. Busa is studying Eswatini's economic structure to identify more business opportunities for expansion. He thinks that he will have to operate his business through e-commerce so as to achieve more success. Busa wants to achieve business growth by supplying eggs country-wide in the next three years. One entrepreneur has advised Busa to consider introducing technological change in his business operations.

(a) Define 'scarcity'.

.....

 [2]

(b) Identify **two** sectors of Eswatini's economic structure.

Sector 1

 Sector 2
 [2]

(c) Explain **two** disadvantages to Busa of operating his business through e-commerce.

Disadvantage 1

 Explanation

 Disadvantage 2

 Explanation

 [4]

(d) Explain **two** forms of external business growth that Busa could use to expand his business.

Form 1

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Explanation

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Form 2

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Explanation

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..... [6]

(e) Do you think that technological change could benefit Busa's poultry business? Justify your answer.

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..... [6]

- 2 Pearl is a clothing designer of suits for rich male customers. The business uses a product-oriented approach to produce expensive clothing. Pearl's revenue generated in the past two years suggests that the business has been affected by product life cycle stages. She has observed that the units sold are below the targeted break-even point. Pearl thinks that she needs to produce different types of products to cater for more market segments. In support of her idea, Pearl's workers have suggested a change from job production to batch production.

(a) Define 'product-oriented approach'.

.....

 [2]

(b) State **two** product life cycle stages that Pearl's business might have been affected by.

Stage 1

 Stage 2
 [2]

(c) Explain **two** uses of the break-even analysis to Pearl.

Use 1

 Explanation

 Use 2

 Explanation
 [4]

- (d) Explain **two** possible clothing products which Pearl might want to develop for her new market segments.

Product 1

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Explanation

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Product 2

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Explanation

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..... [6]

- (e) Do you think that batch production could improve the performance of Pearl's business? Justify your answer.

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..... [6]

- 3 QueBev is a private limited company. It specialises in the production of non-alcoholic drinks, such as yoghurt. The business motivates its workers by focusing on their social needs. Yuli, the CEO, thinks the company should also try to satisfy workers' esteem needs. Yuli needs to think of suitable interview questions for the recruitment of a human resource officer. Recently QueBev joined an employers' association. Some members of the association have suggested to Yuli that a private limited company is not the best form of business organisation for QueBev.

(a) Define 'social needs'.

.....
 [2]

(b) State **two** ways the workers' esteem needs could be satisfied at QueBev.

Way 1

 Way 2
 [2]

(c) Explain **two** interview questions that Yuli could use for the recruitment of a human resource officer.

Question 1

 Explanation

 Question 2

 Explanation
 [4]

- (d) Explain **two** possible objectives of the employers' association that might have influenced QueBev to join it.

Objective 1.....

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Explanation.....

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Objective 2

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Explanation.....

..... [6]

- (e) Do you think the private limited company form of business organisation is the best one for QueBev? Justify your answer.

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- 4 Yakho Hardware is a small hardware shop located in the rural town of Hluthi. Yakho Hardware measures the productivity of employees on the basis of monthly revenue generated. As the business is currently small, the budget for fixed costs is low. The owners plan to increase the profits of the business by expanding to other rural locations. Yakho Hardware purchases its stock from large urban hardware retailers which means that contribution margins are low. However, the owners of Yakho Hardware have decided to start buying stock directly from manufacturers in the near future.

(a) Define 'monthly revenue'.

.....

 [2]

(b) State **two** examples of fixed costs in Yakho Hardware's operations.

Fixed cost 1

 Fixed cost 2
 [2]

(c) Explain **two** reasons why Yakho Hardware prefers locating its shop in a rural area than a large town.

Reason 1

 Explanation

 Reason 2

 Explanation
 [4]

(d) Explain **two** advantages to Yakho Hardware of preparing a financial budget.

Advantage 1

 Explanation.....

 Advantage 2

 Explanation.....
 [6]

[illegible]

[6]

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